

TERMS AND CONDITIONS

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Binding Contract: This Estimate is valid for 30 days. During said 30 days the Estimate is subject to change or revocation by Contractor without notice. Except to the extent Contractor exercises its right to change and/or revoke the Estimate, the Estimate shall constitute a binding agreement "Agreement" upon acceptance by Owner(s). The date of such Agreement shall be the date of Owner(s)' acceptance.

Contractor: Shall mean Locke & Ladder LLC

Contract Price: Shall mean the Estimate Price as adjusted by the net of any written change orders.

Insurance Supplement: Any additional funds received from property owners insurance company for general contractor overhead and profit, and/or supplemental cost increases approved by insurance will be paid in full to Locke and Ladder, LLC, in addition to the contract price above.

Material Delays & Defects: Locke and Ladder, its employees, or agents assume no responsibility for time and material delays, strikes, acts of God, manufacturing defects, or any other delay in circumstances beyond their control.

Made-to-Order Goods: This contract calls for made-to-order goods and thus is not subject to cancellation except subject to Buyer's three (3) day rescission right. Installation is expected to start on or about _____ weeks from the contract date and be completed in or about _____ weeks from starting date, subject to Items above.

Material Pricing: The contract price for this project has been calculated based on the current prices for the component building materials. However, the market for the building materials is considered to be volatile, and sudden price increases could occur. Locke & Ladder will use our best efforts to obtain the lowest possible prices from available building material suppliers. In the event there should be an increase in the prices of the building materials that are purchased after execution of the contract, the Owner agrees to pay the cost increase. Locke & Ladder will notify the Owner of any material increases before a purchase is made.

Window and Door Installation: Locke and Ladder is not responsible for removal or replacing any window treatments, furnishings, or hangings in front of windows, doors, or on interior or exterior walls. Owner will be responsible for removing and replacing security systems on doors and windows. Locke and Ladder does not clean windows as part of its installation.

Closed Walls and Attic Cavity: Locke and Ladder is not responsible for damages that incur inside a closed wall or attic cavity.

Payment of Funds and Deposits: Except as otherwise agreed between Owner(s) and Contractor, Owner(s) agrees to pay Contractor the Contract Price in cash, check, or credit card equivalents, according to the following schedule: Option 1: 50% of the Contract Price down to order materials and schedule work to commence. The remaining balance will be due upon completion of the work. Option 2: 25% prior to ordering materials, 25% upon scheduling work, balance due upon completion. On projects with multiple trades, Locke and Ladder reserves the right to collect final payment for each/any trades that are completed.

Punch List Items: Buyer may withhold a reasonable amount "not to exceed 10% of contract price" if after installation there remains corrective work to enhance appearances, or function to the installed product "i.e. punch list items" provided buyer supplies Locke & Ladder with a written list of items known to need attention with completion payment. Under these circumstances, the final payment is due when Locke & Ladder notifies buyer that all noted items have been examined and action taken necessary to correct any defects in the product or the installation workmanship has

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been completed.

Late Payment / Service Charge: The final balance of the project is due NET 15 days following the date Contractor notifies Owner of completion of the project. Owner agrees to pay in full at the time of completion of each contract. Should default be made in payment under this contract, charges shall be added from the date thereof at a rate of one and one half percent (1 1/2%) per month (18% per annum) with a minimum charge of \$2.00 per month, and if placed in the hand of an attorney for collection, all attorney's fees and legal filing fees and expenses shall be paid by Owner accepting this contract.

Photo/Video Release: The Homeowner consent's to the use of photograph(s) of the property by Locke and Ladder for promotional and advertising purposes. The Homeowner waives all rights and fees for Locke and Ladder to use said photo(s) for ads, brochures, website or any other promotional use. The homeowner also understands that there is no limitation in terms of time for Locke and Ladder to use photo(s). This agreement extends to photographs of buildings, property and people as applicable.

It is agreed by Locke and Ladder that neither the owner's name nor address will be disclosed in connection with any promotional and advertising purposes unless expressly consented to by the owner

Defects and Delays: Owner understands that there may be existing defects which may not be discoverable until work has commenced. Unless specifically included in the work description and specifications, the cost for labor and materials to repair such defects is not included in the Contract Price. Owner(s) and Contractor agree that the cost for labor and materials to repair such defects will be estimated in writing as needed at the time of discovery and, upon written acceptance, the cost for same will be in added to the Contract Price. These defects and other contingencies, including material availability, precipitation, temperature, changes requested by Owner, and any conditions not revealed by Owner may materially affect the approximate completion date of the work and may increase the cost of the work. In such event, Company and Owner may execute a change order to account for additional time or expense related to such contingencies.

Changes in Agreement: This Agreement, the work description and specifications, and the Contract Price shall not be modified except by written change order. A change order may be formalized by email correspondence between Contractor and Owner(s).

Contractor Responsibilities: Contractor agrees to perform the work description and specifications as outlined in the Estimate and any agreed written changes incorporated into this Agreement in accordance with these terms and specifications for the price listed OR per the insurance scope of loss for full replacement value on the Insurance Scope of Loss Sheet (or similar report) including, but not limited to the award of Contractor's Overhead and Profit as allowed by insurance companies, plus deductible, any upgrades, insurance supplements, and/or mutually agreed upon change orders.

Work Schedule: All specifications for the work (shingle style & color, aluminum color, etc.) must be finalized prior to obtaining a final schedule date. Contractor agrees to perform the Work in a good and workmanlike manner with reasonable dispatch in accordance with the specifications contained herein. The Contractor is responsible for establishing scheduling and sequencing of the work to be performed. Reasonable delays include, but are not limited to, weather, non-delivery, discontinuance, default in shipment by a supplier in whole or in part, loss in transit, labor strikes, labor shortages, lockouts or other causes beyond Contractor's control.

Materials: Except as otherwise set forth in a writing between Owner(s) and Contractor, Contractor will provide necessary materials to complete the work per the work description and specifications. Contractor shall not be responsible for an exact match of any materials, including but not limited to, roofing, siding, metal work, and shingle shading. Owner understands and acknowledges that unless otherwise agreed to in writing, all materials provided by Contractor are the property of Contractor and any unused materials as of the completion of the work will be retained by Contractor and removed from Owner(s) property.

Safety: In order to comply with OSHA regulations regarding mandatory fall protection & safety procedures, safety equipment may be installed prior to work beginning and removed upon project completion. If powerlines are too close to the work area Contractor will contact the power company to, at the power company's discretion, either have the power lines covered with protective equipment or shut off while Contractor is performing work. Any costs and fees associated with power company's services shall be the responsibility of Owner(s). Contractor will endeavor to minimize any charges or inconveniences. Our main concern is the safety of our employees and we will take all/any precautions deemed necessary.

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Owner Responsibilities: Owner(s) warrants to Contractor that he/she/they is the legal owner of the property. Owner(s) agrees to provide to Contractor electric power and water for construction purposes at no charge to Contractor. Owner(s) shall make himself/herself available during work for clarification of specifications, approval of additional work and to provide adequate access to the property as may be required. Due to the nature of the construction to be done at Customer's request, the Customer takes sole responsibility for any damage done to curbs, walkways, driveways, structures, septic tanks, HVAC, utility lines, landscaping, appurtenances, person(s) or real or personal property at the job location. Owner(s) acknowledges that the removal of permanently attached building materials often disturbs and vibrates the existing property. The noise, debris, and vibration generated from the work may cause inconvenience to Owner(s) and changes to Owner(s) property including but not limited to: interior wall cracks, flaking of wall paint, debris falling into attic, dust, disturbance to shrubbery and lawns, small divots or ruts in yard from equipment such as Equipter, small divots in the driveway from equipment such as roll-off containers and dump truck. As a precaution, Owner(s) shall remove from walls or ceilings items such as, but not limited to, chandeliers, paintings, pictures and any breakables. Owner(s) shall remove or move at least 10' away from work area any outdoor furniture, grills, planters, etc. Contractor shall not be responsible for any of the aforementioned property damage or for any inconvenience experienced by Owner(s) as a normal consequence of the work. Contractor is not liable for damage to person or property caused by nails, and Customer agrees that it will take the appropriate precautions to avoid said damage. Customer agrees that the contractor shall not be liable for water intrusion that occurs from the date of commencement of roof repairs, remodeling, or other roofing services through the date of completion of such work.

Locke and Ladder cannot be held liable for any gutter/gutter guard damages that take place during a roof replacement when homeowner chooses to keep pre-existing gutters versus replacing. It is highly likely that if a roof pitch is 8/12 or above that gutters will sustain at least minimal damages.

Building Permits: If permit is required, this will be the Owner(s)' responsibility to obtain from your borough or township.

Subcontractors and Vendors: Owner understands Contractor may use subcontractor or independent contractors to perform the agreed upon work, lease or furnish labor, service, material, or equipment to or on our behalf of the Contractor to the Owner's property. Neither Contractor no any subcontractor or supplier may initiate or pursue a claim with your insurance company directly.

Contractor Workmanship Warranty: Contractor warrants its workmanship against defects in the workmanship only for the period set forth in this Agreement from the date of completion of the work. However, said warranty shall be null and void under the following circumstances: (1) if Owner(s) fails to pay any sum owed to Contractor under this Agreement and any applicable change orders; (2) if Owner(s) permits any third party to alter or repair any of the work performed by Contractor in any way; (3) if defect is the result of Owner(s) failure to properly maintain and clean gutters at least twice per year; or (4) if defect is the result of Owner(s) failure to provide normal and routine care and maintenance as to the work.

Material Warranty: All materials are warranted by the manufacturer. Contractor does not warrant the materials used to complete the Work. Material warranty shall be limited to manufacturer's warranty of materials according to the terms and conditions of said manufacturer warranty. In addition, Contractor does not warrant the material of items such as, but not limited to, caulking materials, sealant, reflective coatings, painted surfaces, metal materials, or the possible failure of these items.

Limitation of Liability: Owner(s) acknowledges that at no time shall Contractor's liability exceed the total amount charged for the work performed under this Agreement. Contractor shall not be liable for any defects which are characteristic to the particular materials such as cracks, splits, and shrinkage or warping of wood or lumber, etc.

Owner Insurance: Owner(s) agrees to carry homeowner's insurance covering fire, theft, storm, and damage to the property including, but not limited to, landscaping, trees, shrubs, driveways and walkways in sufficient amounts to cover the work and materials under construction by the Contractor and agrees to compensate the Contractor for losses sustained by these conditions. Contractor shall, in amounts and with carriers subject to Contractor's sole discretion, provide workers' compensation and liability coverage for the Work.

Insurance: Locke & Ladder shall maintain general liability, workers compensation and builder's risk insurance in accordance with the minimum requirements of the State of Illinois throughout the duration of the Services. Locke & Ladder shall provide Client with proof of insurance upon request of the Client.

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Survey and Title: Locke & Ladder shall not. Client will indicate the property lines to Locke & Ladder and will provide boundary stakes by a licensed land surveyor if Client's are in doubt about the property boundaries.

Escalation clause for Specified Building Materials: The contract price for this project has been calculated based on the current prices for the component building materials. However, the market for the building materials is considered to be volatile, and sudden price increases could occur. Contractor will use our best efforts to obtain the lowest possible prices from available building material suppliers. In the event there should be an increase in the prices of the building materials that are purchased after execution of the contract, the Owner agrees to pay the cost increase. Contractor will notify the Owner of any material increases before a purchase is made.

Service Calls: Service calls requested by the Owner shall be included in the written workmanship warranty only if the call for service is a warranted service call. On service calls where it is deemed by the Contractor to be a non-warranted item, the Owner will be charged for the service call or Work performed at Contractor's established rates.

HVAC and Plumbing: Contractor does not change, repair, fix or in any way amend the exhaust pipes or vents associated with the building heating, ventilation, and air conditioning (HVAC) system or plumbing. Therefore, the parties to this Agreement understand and agree that the Contractor is not liable for any damage to health that could result from the improper exhaust or leakage of noxious or toxic gases including but not limited to carbon monoxide fumes.

S Skylights and Solar Panels: Contractor is not responsible for any damage on or below the roof due to leaks from skylights unless the Contractor completed the skylight replacement. If there are solar panels on the roof, the Contractor will not be responsible for damage during the repair. The Owner agrees to have a solar panel company take the necessary action to protect the solar panels.

Water Intrusion and Mold: The parties of this Agreement recognize and understand that there is a probability of mold damage to the walls associated with water damage from leakage around windows, flashing, and siding to be replaced. Contractor will inform Owner if it believes there is a likelihood of mold, but Contractor does not remediate mold and is not liable for any mold damage, where pre-existing or occurring after the Work of this Contract. The parties also agree that because of the onset of winter, it may be impossible to do all the repair work necessary to completely fix a water intrusion. As a result, the parties agree that it may be prudent to mitigate the water damage with a temporary repair so that the permanent solution can occur later in the Spring following the onset of warmer weather.

FORCE MAJEURE. If performance of this Contract or any obligation under this Contract is prevented, restricted, or interfered with by causes beyond either party's reasonable control ("Force Majeure"), and if the party unable to carry out its obligations gives the other party prompt written notice of such event, then the obligations of the party invoking this provision shall be suspended to the extent necessary by such event. The term Force Majeure shall include, without limitation, acts of God, plague, epidemic, pandemic, outbreaks of infectious disease or any other public health crisis, including quarantine or other employee restrictions, fire, explosion, vandalism, storm or other similar occurrence, orders or acts of military or civil authority, or by national emergencies, insurrections, riots, or wars, or strikes, lock-outs, work stoppages, or other labor disputes, or supplier failures. The excused party shall use reasonable efforts under the circumstances to avoid or remove such causes of non-performance and shall proceed to perform with reasonable dispatch whenever such causes are removed or ceased. An act or omission shall be deemed within the reasonable control of a party if committed, omitted, or caused by such party, or its employees, officers, agents, or affiliates.

ARBITRATION. Any controversies or disputes arising out of or relating to this Contract shall be resolved by binding arbitration in accordance with the then-current Commercial Arbitration Rules of the American Arbitration Association. The parties shall select a mutually acceptable arbitrator knowledgeable about issues relating to the subject matter of this Contract. In the event the parties are unable to agree to such a selection, each party will select an arbitrator and the two arbitrators in turn shall select a third arbitrator, all three of whom shall preside jointly over the matter. The arbitration shall take place at a location that is reasonably centrally located between the parties, or otherwise mutually agreed upon by the parties. All documents, materials, and information in the possession of each party that are in any way relevant to the dispute shall be made available to the other party for review and copying no later than 30 days after the notice of arbitration is served. The arbitrator(s) shall not have the authority to modify any provision of this Contract or to award punitive damages. The arbitrator(s) shall have the power to issue mandatory orders and restraint orders in connection with the arbitration. The decision rendered by the arbitrator(s) shall be final and binding on the parties, and judgment may be entered in conformity with the decision in any court having jurisdiction. The agreement to arbitration shall be specifically enforceable under the prevailing arbitration law. During the continuance of any arbitration proceeding, the parties shall continue to perform their respective obligations under this Contract.

ENTIRE AGREEMENT. This Contract contains the entire agreement of the parties, and there are no other promises or

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conditions in any other agreement whether oral or written concerning the subject matter of this Contract. This Contract supersedes any prior written or oral agreements between the parties.

SEVERABILITY. If any provision of this Contract will be held to be invalid or unenforceable for any reason, the remaining provisions will continue to be valid and enforceable. If a court finds that any provision of this Contract is invalid or unenforceable, but that by limiting such provision it would become valid and enforceable, then such provision will be deemed to be written, construed, and enforced as so limited.

AMENDMENT. This Contract may be modified or amended in writing, if the writing is signed by the party obligated under the amendment.

GOVERNING LAW. This Contract shall be construed in accordance with the laws of the State of Illinois.

AUTHORITY TO CONTRACT. By signing below, Client represents and warrants that Client is the Owner of the Property and has the authority to sign this Agreement. Locke & Ladder affirms that it is a licensed Illinois roofing Locke & Ladder.

NOTICE. Any notice or communication required or permitted under this Contract shall be sufficiently given if delivered in person or by certified mail, return receipt requested, to the address set forth in the opening paragraph or to such other address as one party may have furnished to the other in writing.

RIGHT TO CANCEL. Client may cancel this transaction without penalty or obligation by delivering a notice of cancellation to Locke & Ladder by delivering a notice in the form attached as Exhibit B within 3 business days after the date of this contract.

Mechanics Lien Notice. In accordance with Illinois 770 ILCS 60/1 et al. Client is notified that persons or companies furnishing labor or material for the improvement of real property may enforce a lien against your property if they are not paid for their services. Client may require lien waivers be required from all suppliers and subcontractor for the work performed.

Home Repair Consumer Rights Brochure. Client acknowledges receipt of the "Home Repair: Know Your Consumer Rights" brochure. _____ (client initial)

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